UNION PETROCHEMICAL PUBLIC COMPANY LIMITED

RISK MANAGEMENT POLICY

Union Petrochemical Public Company Limited (the "Company") recognizes the importance of risk management in driving the organization toward sustainable business growth and development. In today's business environment, the Company faces constant changes in competition and in external and internal factors that may affect its ability to achieve its objectives and fulfill its core missions. The Company has therefore established this Risk Management Policy to ensure that it is prepared to respond to changes in business conditions and that it maintains an efficient and effective risk management system.

Definitions

Risk means the possibility of uncertain events or circumstances that may prevent an operating plan or activity from achieving its established objectives or targets.

Risk Management means a process carried out by the Board of Directors, management, and all employees of the Company to identify and manage risks within the organization. The risk management process is designed to address events that may arise and affect the Company and to manage risks within levels acceptable to the Company, thereby providing reasonable assurance that the Company will achieve its established objectives.

Risk Management Policy

1. The Board of Directors, management, and all employees are responsible for assessing, monitoring, and supporting a systematic and effective risk management process. Risk management information shall also be communicated to employees at all levels to foster a shared understanding and awareness of risks.

2. An appropriate risk management system shall be established in accordance with sound standards to serve as an operational guideline. Risk management shall be incorporated into decision-making relating to the Company's strategies, plans, and operations.

3. Measures and guidelines shall be established to manage residual risks at acceptable levels, taking into consideration measures that reduce the likelihood and/or impact of potential risks in a systematic manner at both the Company and departmental levels, in order to minimize potential damage or losses.

4. Risks that may affect the achievement of the Company's objectives shall be assessed and monitored systematically and continuously. The risk management process shall be regularly reviewed and improved to remain appropriate in response to changes in business conditions in both the short and long term.

5. Risk management reports shall be submitted regularly to the Board of Directors and management. Risk management shall be reviewed and evaluated annually, taking into account emerging risks and changes in risk management approaches.

Policy is hereby announced for the information and compliance of all concerned.

Announced on 10 August 2022